

SYLTRA.

Smart Living. Seamlessly Connected.

Financial & Funding Plan : Three Years

An integrated financial model: Year 1 in monthly detail built on the documented operating plan, a three-year P&L projection, unit economics, the funding requirement and its uses, scenario analysis, and break-even indicators.

The financial model rests on three revenue channels of graduated maturity: installation-and-commissioning projects (early cash), device sales through distribution channels (scale), then SYLTRA Adaptive platform subscriptions and licensing (high margin). The result is a profitability path that improves structurally year over year.

Indicator	Year 1	Year 2	Year 3
Total revenue (SAR)	2,442,750	5,486,938	10,168,000
Operating profit (SAR)	825,066	2,392,302	4,973,680
Operating margin	33.8%	43.6%	48.9%
Net result after capex (SAR)	600,066	2,212,302	4,723,680

Month 4

Monthly operating break-even

Month 7

Cumulative operating break-even

Month 9

Full break-even including capex

All Year 1 figures derive directly from the documented monthly operating model (an Excel workbook with live, auditable formulas accompanies this document). Years 2 and 3 are projections built on the conservative growth assumptions detailed on the projection page.

Year 1 is built on deliberate, staged growth: from zero revenue in the formation month to a stable capacity of 8 projects per month at an average of SAR 37,000 per project, with device-sales revenue (a 1,000-unit batch) entering through distribution channels from Month 9.

Period	Project Revenue / mo	Device Revenue / mo	Operating Milestone
Months 1-3	0 → 54,000	:	Formation, team, first projects
Months 4-5	108,000 → 135,000	:	Monthly operating break-even (Month 4)
Month 6	185,000	:	Average project value rises to 37K
Months 7-8	296,000	:	8 projects/mo : cumulative break-even (Month 7)
Months 9-12	296,000	34,700 → 42,600	1,000-unit batch sells : full break-even (Month 9)

Year 1 Cost Structure

Item	Amount (SAR)	Nature
Fixed costs (salaries, rent, marketing, telecom)	836,004	Recurring monthly : 69,667/mo
Variable costs (procurement 30% + commission 2%)	781,680	32% of revenue : scales with it
Capital expenditure (vehicles, fit-out, equipment)	225,000	One-time : Month 1
Total Year 1 costs	1,842,684	

The revenue mix is designed so each mature channel funds the next: projects fund the device expansion, and devices build the installed base of connected homes that later converts into platform subscribers.

Channel	Model	Year 1	Year 2	Year 3
Installation projects	Core systems: apartments 11–20K, villas 20–45K	2,285,000	4,440,000	7,296,000
Device sales via channels	Retail, wholesale, agents, independent technicians : 5 pricing tiers	157,750	859,738	1,920,000
Subscriptions & platform	SYLTRA Adaptive subscriptions, then operator licensing	:	187,200	952,000
Total		2,442,750	5,486,938	10,168,000

The Five Pricing Tiers (Devices)

Net cost → SYLTRA technical team → wholesale → agents & independent technicians → retail (15% below the local market average). Gross margin across the catalog runs between **44% and 66%**, and the channel-weighted average selling price is **SAR 157.75 per device** against a weighted net cost of SAR 61.

Item (SAR)	Year 1	Year 2	Year 3
Project revenue	2,285,000	4,440,000	7,296,000
Device revenue	157,750	859,738	1,920,000
Subscription & licensing revenue	:	187,200	952,000
Total revenue	2,442,750	5,486,938	10,168,000
Fixed costs	(836,004)	(1,380,000)	(2,150,000)
Variable costs	(781,680)	(1,714,636)	(3,044,320)
Operating profit	825,066	2,392,302	4,973,680
Operating margin	33.8%	43.6%	48.9%
Capital expenditure	(225,000)	(180,000)	(250,000)
Net result	600,066	2,212,302	4,723,680

Projection Assumptions (Years 2 & 3)

- **Year 2:** average 10 projects/month; the direct-production batch (5,450 devices) sells through; 400 subscribing homes; team expansion (fixed costs SAR 115K/month).
- **Year 3:** average 16 projects/month with expansion to Jeddah and Dammam; 12,000 devices; 1,500 subscribers; first platform licensing contracts; expanded team (SAR 179K/month).
- Variable-cost ratio held at 32% for projects and devices, and only 10% for platform revenue : which explains the structural margin improvement.

Per-Project Economics

Item	Apartment (core system)	Villa (core system)
Average contract value	SAR 11,000 : 20,000	SAR 20,000 : 45,000
Variable cost (32%)	3,520 : 6,400	6,400 : 14,400
Gross contribution	68% of contract value	68% of contract value

Per-Device Economics (weighted average : 1,000-unit batch)

Indicator	Value
Weighted net cost	SAR 61
Channel-weighted average selling price	SAR 157.75
Unit contribution	SAR 96.75 (61% of selling price)
Margin range across catalog	44% : 66%

Why these economics hold: the price position (15% below the local market average) is computed item by item, and the flexible margin absorbs procurement cost swings while preserving the same price position : the discount is a durable structural advantage, not a temporary promotion.

Capital Need

Item	Amount (SAR)
Phase One : 6 months of formation and operations	805,880
First scaled production batch (1,000 devices : high end)	≈157,000
Operating reserve (≈10%)	≈96,000
Total targeted need	≈1,059,000

Proposed Round Terms

Item	Value
Investment requested	SAR 900,000 (≈\$240,000)
Equity offered	20%
Pre-money valuation	SAR 3,600,000
Post-money valuation	SAR 4,500,000

76%

of funds to direct operations (team & projects)

15%

to the first commercial production batch

9%

liquidity reserve

Under the base case, the company recovers its entire invested capital (including capex) by Month 9 of operations and enters Year 2 with positive operating liquidity : no follow-on round required.

The model was tested under three scenarios to measure its sensitivity to sales velocity : the single highest-impact variable in the model:

Scenario	Key Assumption	Y1 Revenue	Operating Profit	Full Break-even
Conservative	5 projects/month all year, no device sales	1,269,000	26,916	Month ≈21
Base	8 projects/month from Month 7 + 1,000-device batch	2,442,750	825,066	Month 9
Upside	10 projects/month from Month 7 + accelerated device sales	≈2,950,000	≈1,170,000	Month 8

Reading the Results

- Even in the conservative case, monthly operations break even from Month 4 : the core risk is slow capex recovery, not an operating burn.
- The model's first sensitivity is monthly project count; that is why the commercial team (two representatives targeting 4 projects each) is built before any other expansion.
- Device sales pull full break-even forward from Month 21 to Month 9 : the decisive effect of the second channel.

- **Early cash:** the project channel reaches monthly operating break-even in Month 4 : before any device batch arrives.
- **Structurally improving margin:** from 33.8% to 48.9% over three years as the mix shifts toward the platform.
- **Relatively light capex:** only SAR 225K one-time, fully recovered within 9 months in the base case.
- **Managed risk:** the model's highest sensitivity (project velocity) is met with a dedicated sales structure and direct incentives.
- **Full transparency:** the detailed monthly model ships with live formulas, auditable cell by cell.

The ask: SAR 900,000 for 20% to fund six months of formation, the first commercial production batch, and a liquidity reserve : against a precisely computed total need of $\approx$ SAR 1,059,000, with the difference covered by early operating cash flow.

2.4M → 10.2M

Three-year revenue path (SAR)

9 months

Full capital recovery

48.9%

Operating margin by end of Year 3